SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

November 10, 2026 | 07:00 PM ET

MACRO REGIME: Mixed / Transitional

VIX 19.5 (+0.2 vs 20d) | SPY 20d -2.6% | IWM 20d +3.4% | IWM/SPY trend +6.1%

Leaders: Healthcare (+8.6%), Cons Disc (+8.6%), Real Estate (+7.5%)

Setup Grades

A - Prime Setup (0)	B - Building (0)	C - Early Stage (3)
		MANE
		TRAX
		IRON

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
C	MANE	Veradermics, Inco	Biotech Cycle / Spec	$6.20B	$148.44	$152.82	3.0%	+37.1	YES	YES
C	TRAX	First Tracks Biot	Biotech Cycle Recove	$2.20B	$52.33	$54.78	4.7%	+22.2	YES	YES
C	IRON	Disc Medicine, In	Specialty Biotech /	$3.85B	$84.64	$86.26	1.9%	+9.1	YES	no

Not financial advice. Watchlist only - setups have NOT triggered. For informational purposes only. Do your own due diligence.

MANE

Verademics, Incorporated

$148.44

Pivot $152.82 | 3.0% away

RS vs SPY: +37.1%

C EARLY STAGE

$6.20B Cap | 32M Float

Dermatology Biotechnology | Theme: Biotech Cycle / Specialty Pharma | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 4.59

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$152.82**
% to Pivot	**3.0%**
Days in Base	**13**
Tightness	**4.59 Fair**
52W Hi Prox	**97.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**589k <**
Wk2	**510k <**
Wk3 (oldest)	**716k**
Coil Strength	**17.8% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+37.1%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$6.20B**
Float	**32M sh**
P/E (TTM)	**-**
Fwd P/E	**-57.1**
Rev Growth	**-**
Short %	**13.6%**
Inst. Own	**-**
Target Pr.	**$175.50**

ENTRY TRIGGER

Close above $152.82 on volume >150% of 20-day avg (>1.1M shares)

Target: $175.00 (analyst consensus target; represents 18% measured move from pivot)

Stop: $141.50 (base low; 7% below pivot)

CATALYST INTELLIGENCE

EARNINGS

Nov 10 - EARNINGS TODAY - extreme binary event. Street consensus unavailable (pre-revenue biotech); focus will be on cash runway, pipeline updates, and any clinical readout timing. As a pre-revenue name, P/E is inapplicable; valuation reflects growth-stage premium. Beat/miss history less relevant than clinical milestone commentary.

BUSINESS & POSITION

Verademics is a clinical-stage biotechnology company focused on novel therapeutics for inflammatory and autoimmune skin conditions, targeting underserved dermatological indications with differentiated mechanisms of action. The company occupies a niche disruptor position in the $15B+ global dermatology therapeutics market, competing against established players like Regeneron (Dupixent) and AbbVie (Skyrizi).

FACTOR & THEME

Directly exposed to the biotech cycle recovery theme, with Healthcare leading sectors (+8.6% over 20d). Peer read-throughs from recent dermatology M&A (Horizon, Prometheus acquisitions) suggest strategic acquirer interest remains elevated in specialty derm assets with differentiated pipelines.

NEWS FLOW

No major contract or partnership announcements in the last 60 days from available data. Key catalyst is TODAY's earnings call - investors will parse pipeline advancement timelines and potential partnership discussions. Catalyst Type: Earnings / Impact: HIGH. Short interest at 13.6% with 3.9 days-to-cover creates squeeze potential if guidance surprises positively.

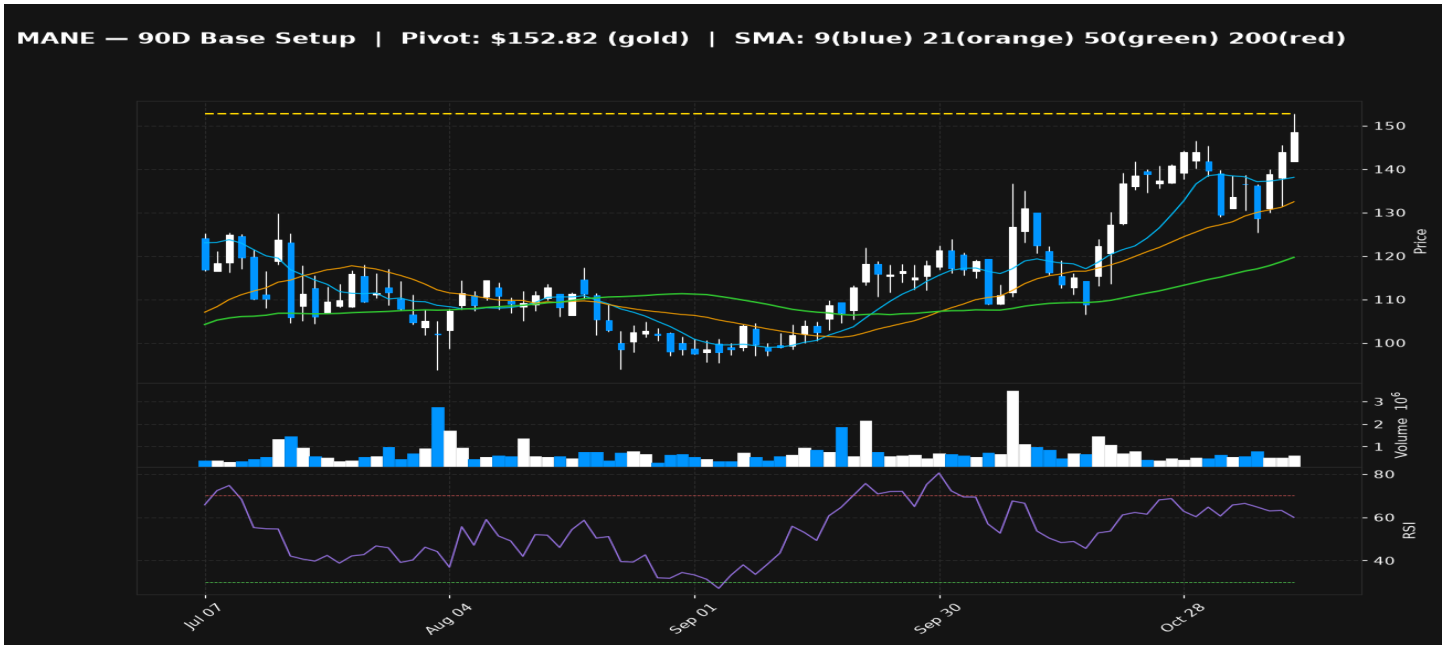
INSTITUTIONAL

Volume dry-up pattern suggests quiet accumulation into the base despite no strict VCP confirmation (W3 volume elevated). Institutional ownership data unavailable from this feed. ZERO insider buying in last 60 days - notable absence given the stock's 363% move off 52W lows; would expect insider conviction buys if clinical data were unambiguously positive. Analyst target of $175.50 implies 18% upside from current levels.

KEY RISK

Thesis invalid on a close below $141.50 (base low / ~5% risk) OR on any clinical setback, cash runway concern, or pipeline delay disclosed on today's earnings call. Binary event risk is extreme - position sizing must reflect potential gap down of 30%+ on negative surprise.

Same-day earnings print creates unmanageable binary risk - cannot responsibly trigger a momentum entry into an earnings event. Base is loose (4.59 vs. <2.0 ideal), volume dry-up is partial (W3 spike breaks pattern), and 13-day base is immature. RS line at new high and Healthcare sector leadership are positives, but structural quality is C-tier. Strongest disconfirming argument: biotech with no revenue, high short interest, and zero insider buying ahead of a binary event is a coin-flip, not a VCP setup. Wait for post-earnings base construction. Conviction: Low.



TRAX

First Tracks Biotherapeutics, I

$52.33

Pivot $54.78 | 4.7% away

RS vs SPY: +22.2%

C EARLY STAGE

$2.20B Cap | 34M Float

Biotechnology - Therapeutics Development | Theme: Biotech Cycle Recovery | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: no | Base Tight: 5.62

VCP BASE ANALYSIS

BASE STRUCTURE

Pivot Price	**$54.78**
% to Pivot	**4.7%**
Days in Base	**4**
Tightness	**5.62 Fair**
52W Hi Prox	**95.5%**

VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)

Wk1 (recent)	**812k <**
Wk2	**477k <**
Wk3 (oldest)	**969k**
Coil Strength	**16.2% from peak**

RELATIVE STRENGTH

RS vs SPY (12W)	**+22.2%**
RS Line New Hi	**YES - Early Leader**
Above 50MA	**YES**
Above 200MA	**no**

FUNDAMENTALS SNAPSHOT

Mkt Cap	**$2.20B**
Float	**34M sh**
P/E (TTM)	**-**
Fwd P/E	**-14.8**
Rev Growth	**-**
Short %	**-**
Inst. Own	**-**
Target Pr.	**$74.75**

ENTRY TRIGGER

Close above $54.78 on volume >130% of 20-day avg (>1.08M shares)

Target: $65.00 (measured move based on base depth projection)

Stop: $49.40 (base low; ~10% below pivot)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Only 4 days into base construction - far too early for institutional-quality entry. Base is loose (5.62), volume pattern shows W3 spike breaking dry-up, and post-earnings drift needs 2-3 weeks to form proper VCP structure. RS line at new high is encouraging but structural quality is incomplete. Monitor for tightening into mid-November. Conviction: Low.



IRON

Disc Medicine, Inc.

$84.64

Pivot $86.26 | 1.9% away

RS vs SPY: +9.1%

C EARLY STAGE

$3.85B Cap | 40M Float

Biotechnology - Hematology / Iron Disorders | Theme: Specialty Biotech / Rare Disease | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 7.13

VCP BASE ANALYSIS

BASE STRUCTURE	
Pivot Price	**$86.26**
% to Pivot	**1.9%**
Days in Base	**14**
Tightness	**7.13 Fair**
52W Hi Prox	**85.1%**
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	**1183k <**
Wk2	**908k <**
Wk3 (oldest)	**2328k**
Coil Strength	**49.2% from peak**
RELATIVE STRENGTH	
RS vs SPY (12W)	**+9.1%**
RS Line New Hi	**no**
Above 50MA	**YES**
Above 200MA	**YES**
FUNDAMENTALS SNAPSHOT	
Mkt Cap	**$3.85B**
Float	**40M sh**
P/E (TTM)	**-**
Fwd P/E	**-13.4**
Rev Growth	**-**
Short %	**22.5%**
Inst. Own	**-**
Target Pr.	**$126.77**

ENTRY TRIGGER

Close above $86.26 on volume >140% of 20-day avg (>1.23M shares)

Target: $99.50 (retest of 52W high)

Stop: $78.50 (below 50MA and base structure; ~9% risk from pivot)

CATALYST INTELLIGENCE

EARNINGS

REPORTED

RS line NOT at new high (only +9.1% vs SPY, 85% of 52W high) disqualifies from A/B consideration under VCP discipline. Base is very loose (7.13), volume W3 spiked 2.6x W2 (breaking dry-up pattern), and 22.5% short interest with 11.6 days-to-cover creates volatility but also overhead supply. High beta (2.01) amplifies risk in mixed regime. Post-earnings base (reported Nov 5) needs another 2+ weeks to tighten. Conviction: Low.

